Individual Assignment Cover Sheet

MBA 2024/2025

Student Blind Grade Numbers (BGNs): 5935N

Assignment Code: MBA10

Name of Course: Strategy

Lecturers for this Coursework: Prof. Chris Coleridge

Hand-in date: 10/March/2025

Word Count: 2000

For individual assignments, I confirm that this piece of work is my own and does not violate the Cambridge Judge Business School's guidelines on plagiarism - see the MBA Programme Handbook & CJBS plagiarism for details.

UNIVERSITY OF CAMBRIDGE
Judge Business School
TheCambridgeMBA

1. Introduction

This assessment is focused on implementing relevant strategic frameworks on the presented strategies during the final session of the Strategy course. The AI Wars case study (Wu et al., 2022) discussed in a previous session of the course, defined the background context for this assessment. It explored the evolving competition in generative artificial intelligence commercialisation and development, focusing on major industry players including Meta.

In accordance with the assignment instructions to select a company from those presented in the final session of the course, Meta has been chosen for this task. Some of the key motivators for this selection were: a) its large established user base as a global social networking platform, b) a clear disruptive proposition on open-weight Large Language Models (LLMs) development and c) major AI plans for widespread implementation of AI into their platforms (Business Insider, 2025).

The presented overarching strategy for Meta presented by study group 40 (Study Group 40, 2024), will be referred to as *Strategy-40*. All reference sources are cited using Harvard referencing (Pears and Shields, 2022). The Discussion section introduces this strategy and challenges it under relevant frameworks presented during the course.

2. Discussion

2.1 Overview of Strategy-40

Meta's AI strategy is focused on consolidating its dominance in social media engagement, platform expansion and personalised digital advertisement. By investing $65 billion in AI infrastructure in 2025, the company aims to take leadership in generative AI, particularly with its open-source Llama models. The *Strategy-40* goes in alignment with these statements, specifically it provides an overview to execute a $165 billion investment plan (Study Group 40, 2025) focusing on the following principles:

- Investing $65 billion in AI infrastructure, leveraging Llama, its open-source generative AI model improving ad personalisation, content delivery and platform engagement.
- Commoditise GenAI models while developing specialist AI tools for advertising and content creation.
- Future expansion includes integrating new platforms (AR/VR, shopping, search, assistants) and potential joint ventures or acquisitions.
- Get the funding by relying on cash reserves, debt financing, and asset sales.

A core aspect of the strategy involves a unique approach on generalist AI models focused on open-weight framework (the weights of the models are publicly available) and this represents a major difference compared to the GenAI approach compared to Meta's competitors. The models are trained with proprietary data AI for advertising, content creation, and recommendation algorithms. These are the most relevant venues from GenAI to generate impact in societies and business ecosystems according to Marr (2024, pp. 29-32).

Assessment of the presented strategy

Following the assessment's instructions, the upcoming analysis applies two critical frameworks—VRIO and Network Effects—to evaluate the *Strategy-40* as presented by their team. These frameworks are particularly relevant. To be as specific and illustrative as possible with the content provided by them, some of the graphs and slides from their presentation are included in the discussion below. Following the frameworks an overall assessment of the strategy according to Rumelt (2011, pp. 77-81) is presented at the end of this discussion section.

2.2 VRIO Framework

The VRIO (Value, Rarity, Imitability, Organisation) framework developed by Barney (Barney, 1991) and was discussed in the course by (Coleridge, 2025a). It can be used to evaluate Meta's AI-driven competitive advantage. This framework is applied to *Strategy-40* addressing strengths and areas of opportunity.

Value

Strategy-40 refers to "*Meta as a Merchant for Human Attention"*. This seems to be a over-simplifying definition given their impact on global connectivity and Meta's mission: *"to give people the power to build community and bring the world closer together"* (Meta, 2021). Meta's capabilities on AI also add value on content licensing agreements, business solutions, reality labs and business messaging services (Meta, 2025). For this assessment the value generation is focused on GenAI.

Strength - Larger Language Model Meta AI or "Llama", claims to add value by democratising AI access and enhancing personalised content recommendations (Meta, 2024b). This is reflected in Strategy-40 and Meta has done it early following its inception. The strategy aligns with Thiel and Masters' (2014) insight on how first-movers in AI can secure lasting value. Their platform monetises human attention through AI-driven recommendations increasing customer retention and engagement. Additionally, efficient ad personalisation and targeting generates value for advertisers.

Weakness - Strategy-4M superficially states how the value can be defended over the long term beyond technical considerations. As articulated in The AI Book, companies leveraging AI-driven platforms must manage not only technical challenges but also regulatory scrutiny and ethical implications (Chishti et al., 2020, pp. 26-27). The strategy only mentions regulations but no precedents neither execution plan.

Rarity

Starting from this sub-section, the three Imperatives *(Discover, Design and Pursue)* by Miller et al. (1992) will be assessed where relevant.

Strengths: The Strategy 40 refers to the following *Discovered Asymmetries*:

- The company's massive datasets (user behaviour, engagement patterns, and ad analytics) to be unmatched by smaller competitors. As ruled in by Greene (1998, pp. 44-53), controlling access to information and defining its flow is a powerful strategic move. This control represents access to their un-matchable user's datasets reinforcing their global network dominance.
- Llama is fast, cheaply priced as an API and be a solid reasoner.

Weaknesses: The overall context presented by Strategy-40 failed to *Discover*:

- Additional differentiators with respect competition besides the technical elements. As stated by Meta, it faces challenges related to competition, regulatory scrutiny, resource constraints and ethical guidelines (Meta, 2024a).
- Stickiness factors to maintain user loyalty. For instance, by integrating AI into its content recommendation engines, chatbots, and AI-generated media, Meta can enhance platform stickiness (Meta, 2021).
- Ways to increase the Massive-Multitask-Language-Understanding (MMLU) performance with respect to competitors as shown in Figure 1 below.

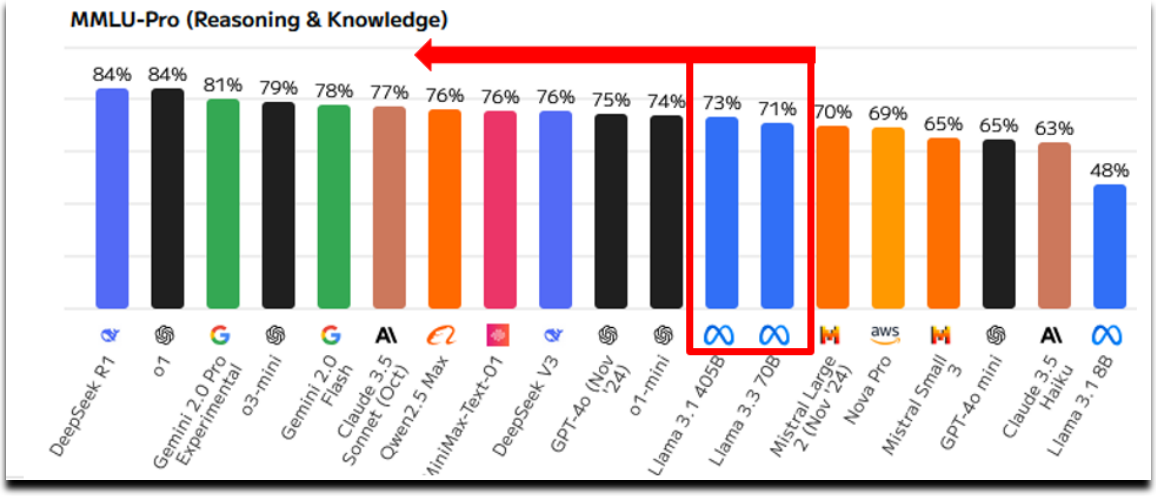


Figure 1: Llama 3.1 and 3.3 MMLU-Pro index (Reasoning & Knowledge) (StudyGroup40, 2025, p.10)

Imitability

From a *Design* perspective-

Strengths:

- While AI models can be replicated, Meta's deep integration within its digital ecosystem makes imitation difficult at scale (Meta, 2021).
- Collect and process vast user data sets provides personalised ad targeting schemes that competitors cannot easily match.
- Synthetic data and continuous AI training designs create further barriers to imitation.
- Complexity through instantaneous targeted content. This operational structure, in turns should align with Lean Startup methodologies, ensuring AI investments align with real-time user engagement data (Ries, 2011, pp. 260-265).

Weaknesses:

- According to Schmidt and Rosenberg (2014, pp. 175-177), Google also follows a similar design embedding AI across all products.
- *A very strong claim in the strategy was that Meta's algorithmic performance was superior as shown in the Figure 2 it was unclear how their open-weight position is a good design for pool retention. Moreover, as shown in Figure 1, DeepSeek leading position could leverage the open-weight design from Meta.*

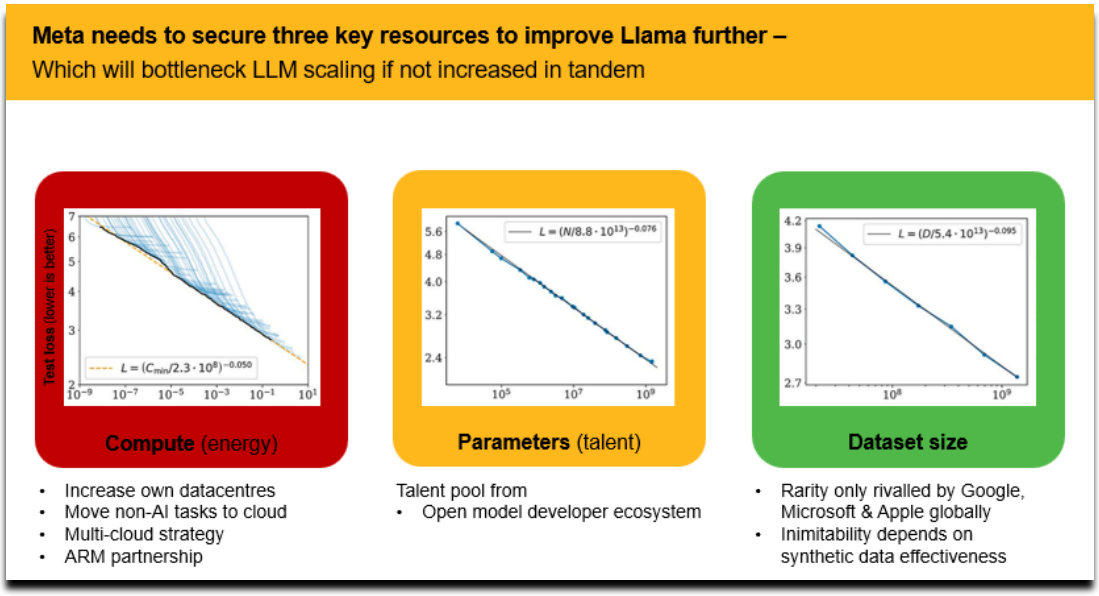


Figure 2: Technical Scope on how to improve Llama (StudyGroup40, 2025, p.11)

Organisation:

From a *Pursuing* point of view, Meta is structured to maximise market opportunities integrating AI capabilities across multiple platforms and advertising networks.

Strengths:

- AI commoditisation and specialisation can allow Meta to dominate the open-source AI market while also leading in ad-tech AI development. Meta's organisation can focus on specialised around the Llama models to be reused and configured according to market needs.
- Meta's approach aligns with exponential organisation principles, as it continuously integrates AI into its market ecosystem to improve efficiencies, reduce costs, and enhance engagement (Ismail, Malone, and Van-Geest, 2014, pp. 55-57).

Weaknesses:

- There was an implied inconsistency on increasing both Cloud and own computing resources in their architecture design mentioned inf Figure 2.
- How compensation structure across the organisation was not covered, it could be discussed specifically to each market outcomes represented by WhatsApp, Instagram and Facebook.

2.2 Network Effects

Network Effects are discussed in the course by Coleridge (2025b). Meta thrives on strong network effects, a key driver of platform-based digital businesses (Easley and Kleinberg, 2010). Meta's business model and AI strategy heavily leverage direct and indirect network effects to sustain its competitive advantage.

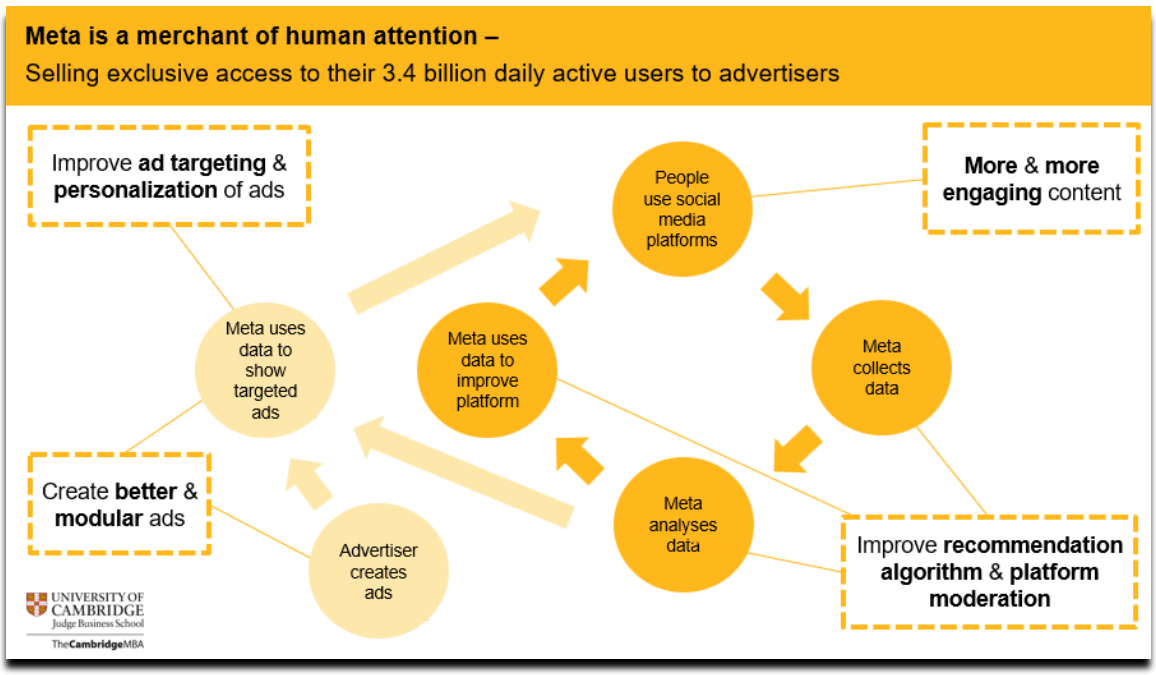


Figure 3: Meta is merchant of human attention - (StudyGroup40, 2025, p.5)

Direct Network Effects

Increased user engagement enhances platform value through social interactions, AI-generated content, and recommendation systems (*Easley and Kleinberg, 2010, pp. 453-455*). According to Tapscott and Williams (2006, pp. 127-129), networked businesses that leverage AI-driven engagement secure long-term dominance. Figure 3 provides a representation of different entities that represent the ecosystem built around the users of the network.

Strengths:

- Meta's 3.4 billion *interconnected* daily active users and proprietary data sets provide a competitive advantage that rivals struggle to replicate. As noted by Tamaseb (2021, pp. 145-151), billion-dollar startups often succeed by leveraging unique data and network effects. The increase of user-to-user interactions directly enhance the experience.
- The more people use Meta's platforms, the more valuable they become for both users and advertisers, reinforcing engagement.
- Increased user engagement enhances the value of the platform through social interactions, AI-generated content, and recommendation systems.

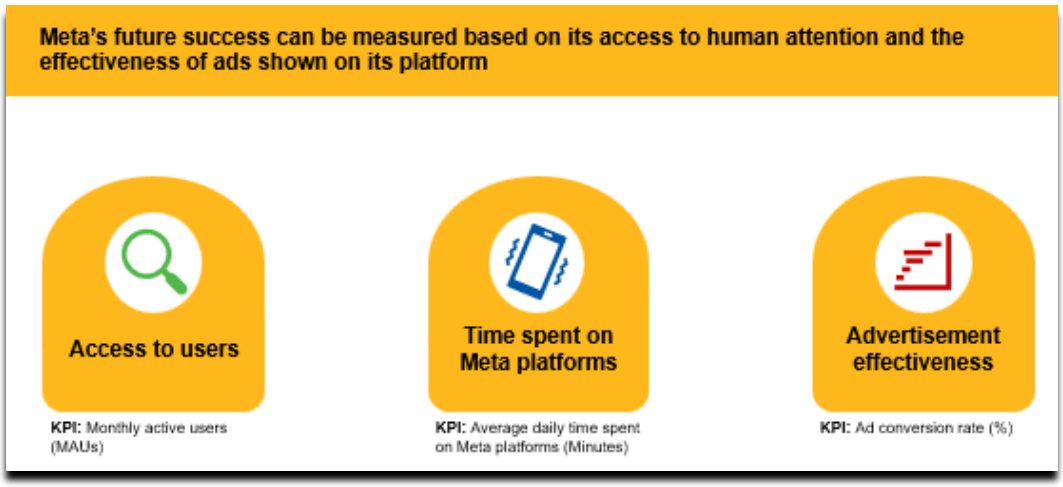


Figure 4: Meta's Future success metrics. (StudyGroup40, 2025, p.6)

Weaknesses:

- Investment in AI talent and datacentres is commented superficially as per Figure 2. Details are lacking to show how a growth of their infrastructure network, would lead to increase value directly for the users and the three main apps.

- As shown in Figure 4, KPIs on access to user and time spent in platforms are lightly presented, A more solid approach on Objectives and Key Results (OKRs) would provide more context on the growth strategies, directing measurable AI implementation objectives and their specific outcomes (Doerr, 2018, pp. 69-76).

Indirect Network Effects:

Meta's AI ecosystem benefits advertisers, developers, and content creators. According to Lee this is critical for improving ad personalisation and monetisation for globally deployed AI systems (*2018, pp. 111-120*). For AI Wars this advantage can be achieved by controlling both supply (AI infrastructure) and demand (user engagement).

Strengths:

- Then GeAI-driven ad personalisation and recommendation algorithms improve content relevance, making Meta's platforms more attractive not only for users, but also for brands and creators.
- Developers contribute to the Meta ecosystem by building on Meta's AI models through open-weight development embraces mass collaboration fuels AI innovation as stated by Tapscott and Williams (2006, 127-129).
- The suggested acquisition of companies such as TikTok, Shopify and Udemy can amplify Meta's ability to monetise from complementary platforms.

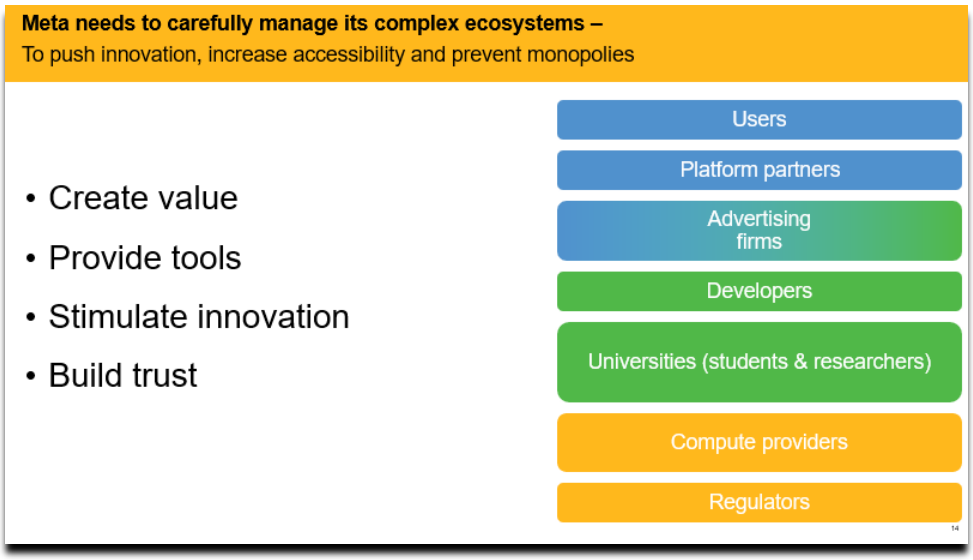


Figure 5: Ecosystem Handling (StudyGroup40, 2025, p.14)

Weaknesses:

- Most of network ecosystem was centred around the what and not the how. The community and ecosystem described in Figure 5 is discussed at high level.
- Figure 5 also shows a partial view of the approach to generate value, innovation and trust for the extended ecosystem. For instance, comment
- Relationship with regulator entities is touched superficially. As outlined in Whitmore (2022, pp. 145-148), GenAI development will fundamentally reshape digital platforms, making regulatory foresight critical.

- As Tegmark (2017, pp. 123-129) suggests, AI companies must navigate the ethics of AI deployment, ensuring that automation does not undermine public trust. More details on mitigating controversial misinformation issues through the network.

2.4 Overall Assessment

Meta demonstrates moderate strength in VRIO and network effects but has critical weaknesses. It excels in value creation through AI-driven personalisation and data analytics but lacks clarity in regulatory execution and retention strategies. Network effects remain strong, with 3.4 billion users reinforcing direct and indirect engagement, yet gaps in AI infrastructure investment details and ecosystem expansion plans weaken long-term positioning. Strategic alignment in AI commoditisation is promising, yet competitor adaptability (e.g., DeepSeek, Google) challenges uniqueness. Regulatory foresight is superficial, potentially limiting scalability. Addressing execution gaps in AI integration, compliance, and infrastructure expansion is crucial for maintaining dominance in a rapidly evolving AI landscape.

Conclusion

According to Rumelt (2011, pp. 77-81), a *Good Strategy* has: clear diagnosis, guiding policies, coherent actions, competitive advantages and adaptability. Whereas a *Bad Strategy* presents: vague statements; failure to identify the problem; conflicting goals & lack of focus; no clear implementation plan and over-reliance on vision statements.

Strategy-40 provides a clear diagnosis of Meta but lacks some details on implementation as addressed in through the frame works. It aligns with Thiel and Masters' (2014, pp.10-17) Zero to One, which underscores the importance of creating breakthrough innovations rather than competing in existing markets. Meanwhile, Kim and Mauborgne’s (2015, pp.3-8) Blue Ocean Strategy suggest that companies should create uncontested market space, rather than competing in saturated industries, a principle Meta applies by expanding into the metaverse and open-source AI. Overall it is a medium strength strategy.

References

Barney, J.B. (1991). *Firm resources and sustained competitive advantage.* Journal of Management, 17(1).

Business Insider *(2025) Mark Zuckerberg has big plans for Meta's 2025. Here's what's underway, plus what's still to come*. Available at: https://www.businessinsider.com/meta-mark-zuckerberg-2025-busy-start-announcements-changes-2025-2 (Accessed: 6 March 2025).

Coleridge, C. (2025a) *'Week 2: Pre-digital Strategy– Porter and Barney'* [Lecture]. *MBA 2024 MBA10-Strategy.* Cambridge Judge Business School. 20 January 2025. Available at: https://learn.jbs.cam.ac.uk/pluginfile.php/269377/mod_folder/content/0/Live%20session%202/Strategy%20MBA10%202025%20Week%202.pdf

Coleridge, C. (2025b) *'Week 3: Platforms and Network Effects/AI Wars Tournament Part 1'* [Lecture]. *MBA 2024 MBA10-Strategy.* Cambridge Judge Business School. 30 January 2025. Available at: https://learn.jbs.cam.ac.uk/pluginfile.php/269377/mod_folder/content/0/Live%20session%203/Strategy%20MBA10%202025%20Week%203.pdf

Chishti, S., Bartoletti, I., Leslie, A., and Millie, S.M. (eds) (2020) *The AI Book: The Artificial Intelligence Handbook for Investors, Entrepreneurs and FinTech Visionaries*. Chichester: John Wiley & Sons.

Doerr, J. (2018) Measure What Matters: *OKRs: The Simple Idea That Drives 10x Growth*. London: Portfolio Penguin. pp. 69-76.

Easley, D. and Kleinberg, J. (2010) *Networks, Crowds, and Markets: Reasoning About a Highly Connected World*. Cambridge: Cambridge University Press. pp. 453-455.

Greene, R. (1998) *The 48 Laws of Power.* New York: Viking Press.

Ismail, S., Malone, M. and Van-Geest, Y. (2014), *Exponential organizations: why new organizations are ten times better, faster, and cheaper than yours (and what to do about it)*, Diversion Books, New York. pp. 55-57.

Kim, W.C. & Mauborgne, R. (2015). *Blue Ocean Strategy: How to Create Uncontested Market Space and Make the Competition Irrelevant.* Expanded edn. Boston, MA: Harvard Business Review Press.

Lee, K.-F. (2018) *AI Superpowers: China, Silicon Valley, and the New World Order*. Boston: Houghton Mifflin Harcourt.

Marr, B. (2024) *Generative AI in Practice: 100+ Amazing Ways Generative Artificial Intelligence is Changing Business and Society*. Chichester: John Wiley & Sons.

Meta (2021). *Founder's Letter: Meta's Vision for the Future*. Available at: https://about.fb.com/news/2021/10/founders-letter (Accessed 26 February 2025).

Meta (2024a) *Our Approach to Labelling AI-Generated Content and Manipulated Media*. Available at: https://about.fb.com/news/2024/04/metas-approach-to-labeling-ai-generated-content-and-manipulated-media (Accessed 26 February 2025).

Meta AI (2024b) *Introducing Llama 3: Advancing Open Access to AI*, *Meta AI Blog*, 18 April. Available at: https://ai.meta.com/blog/llama-3-open-access-ai/ (Accessed 26 February 2025).

Meta (2025). *About Meta.* Available at: https://about.meta.com/ (Accessed: 19 February 2025).

Miller, D., Eisenstat, R., Foote, N. (1992**).** *Knowledge of the firm, combinative capabilities, and the replication of technology*. *Organization Science*, 3(3), pp. 383-397. Available at: https://journals.sagepub.com/doi/pdf/10.2307/41166131 (Accessed: 24 February 2025).

Pears, R. and Shields, G. (2022) *Cite Them Right: The Essential Referencing Guide: Harvard*. 12th edn. London: Bloomsbury Academic. Available at: https://www-citethemrightonline-com.cjbs.idm.oclc.org/category-list?docid=CTRHarvard (Accessed: 20 February 2025).

Ries, E. (2011) *The lean startup: how today's entrepreneurs use continuous innovation to create radically successful businesses*. Crown Business, New York. pp. 260-265.

Rumelt, R. P. (2011). *Good Strategy Bad Strategy: The Difference and Why It Matters.* London: Profile Books.

Study Group 40 (2024) *Final Meta Strategy: AI War Strategy*. Unpublished presentation. *MBA 2024 MBA10-Strategy.* Cambridge Judge Business School. 18 February 2025.

Schmidt, E. and Rosenberg, J. *(2014) How Google Works.* London: John Murray Publishers. pp.175-177.

Tamaseb, A. (2021) *Super founders: what data reveals about billion-dollar startups*, PublicAffairs, New York. pp. 145-151.

Tapscott, D. and Williams, A. (2006) *Wikinomics: how mass collaboration changes everything*, Portfolio, New York. pp. 127-129.

Tegmark, M. (2017). *Life 3.0: Being Human in the Age of Artificial Intelligence*. New York: Alfred A. Knopf. pp. 123-129.

Thiel, P. and Masters, B. (2014) *Zero to One: Notes on Startups, or How to Build the Future*. New York: Crown Business.

Whitmore, A.M. (2022). *The AI Wars: Power, Ethics, and the Race to Superintelligence: Inside the Global Struggle to Build AGI, Safeguard Humanity, and Shape the Future of Power.*

Wu, A., Higgins, M., Zhang, M., and Jiang, H. (2023) *AI Wars, Harvard Business* School Case 723-434, April. (Revised February 2024).